I thought these fears were overdone and I did my best to emphasize why an implosion had been imminent in 1991 and how 2012 was different from 1991.

Between 1991 and 2012, the structure of the Indian economy had changed in fundamental ways. Our exchange rate was now largely market determined. Our financial markets had become more mature, more diverse and much deeper, and were capable of absorbing most shocks. Our regulatory systems and our crisis response mechanism were more robust and sophisticated. Our forex reserves, both in absolute and relative terms, were much larger, and our external debt, as a proportion of GDP, much lower than in 1991. Importantly, the share of services in the GDP was significantly lower in 1991 than in 2012 which is a source of resilience, as service activity is less vulnerable to shocks than agriculture and industry.

I was, of course, conscious of the risk of sounding too complacent or even upbeat. So, every time I gave this reassuring message, I used to take care to balance it with the warning that we had, by no means, insulated ourselves against all future crises. There were several fissures in the macroeconomy which needed to be fixed to keep the economy from derailing.

The feedback I got was that this message went down well with the markets. The prime minister had seen media reports of my public comments and on more than one occasion commended me in private for sending out such a measured message, combining reassurance with a firm call to action to fix the growing vulnerabilities.

Preserving credibility is the other big challenge in exchange rate management. Loss of credibility can be costly for any institution, public or private, but the stakes are much higher for central banks. If a central bank is credible, its actions deliver the intended outcomes effectively; and if its credibility is low or impaired, even good decisions fail to deliver results, which explains why central banks attach so much value to maintaining their credibility. Nowhere is the credibility issue more evident than in exchange rate management where, as accumulated experience from central banks